Looking back on my career of about 30 years, there have been three such decision periods. The first was in the late 1940's and early 1950's, when equity valuations were low because of the postwar depression psychosis, while at the same time, interest rates were being artificially supported. The second was in the late 1950's and early 1960's, the end of the postwar and postdepression catch-up, when it became necessary to recognize the rise of a new generation of investments in secondary and tertiary industries that were far different from the primary industries that spearheaded the postwar boom. The third was in the late 1960's and early 1970's, when it was crucial to recognize that equity valuation levels were in generally high ground and that the investor's insulation from disappointment regarding growth and/or economic stability was nonexistent. In each of these cases there was a period of three–five years during which correct decisions could be made, decisions that have dominated the longer term return levels of portfolios.

We know, of course, that only a few investors make these decisions well. The reason for this is simply that most let the experience of the previous period dominate their thinking. This is exactly what is occurring now. The poor returns generated by equities, combined with the parade of economic, monetary, social, and political discontinuities of the past decade, are responsible for the substantial reductions of equity ratios, diversion of pension fund cash flow from equities, and the resultant depressed valuation levels of equities. True to historical form, investors have rationalized these valuation levels with sophisticated valuation approaches, incorporating current levels of interest rates and historical risk premiums. In the process, they avoid the big question of whether or not we are in a period of general and substantial undervaluation of stocks that will prove to have offered a very, very big opportunity, or whether we are entering a period of severe economic decline and chaos that will turn the apparent undervaluation into overvaluation.